For Indian industry and service providers to become internationally competitive, the whole scheme of customs duty should be reviewed to place basic customs duties only on three kinds of items: sin goods like alcohol and cigarettes; items where India has a natural comparative disadvantage, e.g., palm oil, gold, coal, etc.; and commodities and services susceptible to dumping.

For the rest of the items, customs duties should either be abolished or reduced to very low levels.

Reforming State-Level Remaining Indirect Taxes

Most indirect taxes levied at the state level have been subsumed in GST. However, some goods and services still remain outside the GST system. Alcoholic drinks, narcotic substances, entertainment taxes and electricity duty are a few prominent sets of goods and services that are outside the GST system still.

There is a need to reform the system of taxation of these goods and services. As the revenues of these taxes accrue entirely to the states and the states would be reluctant to cede their control over taxation of these goods and services after experiencing the GST system, it would be advisable to reform the taxation of these goods and services on the pattern of GST but outside the GST system.

On the pattern of taxation of petroleum products proposed above, the states can do an exercise to divide their current total revenues from excise duties and narcotics substances into GST-like revenue which would accrue to them at the maximum rate of GST and the remaining revenue. The states can impose GST at the maximum applicable rate and the rest of the revenue collected can be converted into a fixed rate excise duty. With this, the system of administration of excise duties on alcoholic products and narcotics substances can be aligned with the GST system.